

Research Briefing | Germany

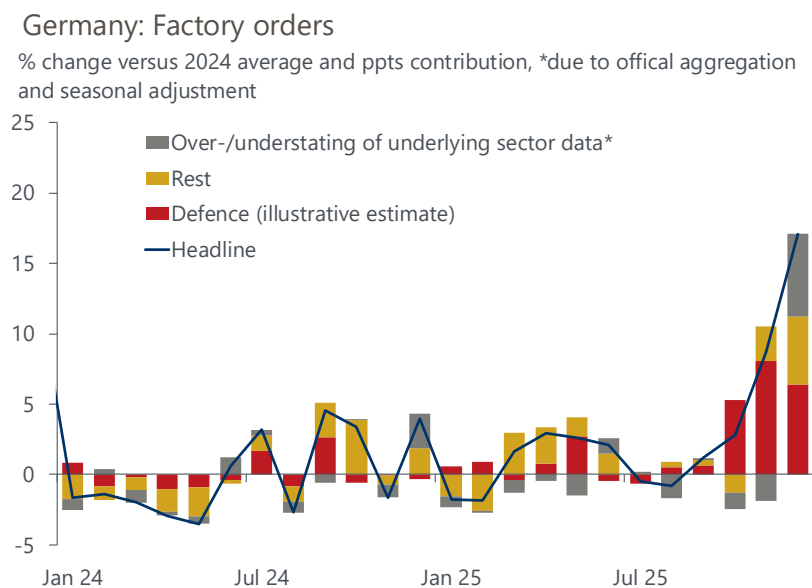
The industrial recovery is finally here, but expect a slow start

- We think the near-20% surge in German factory orders in recent months strongly overstates the near-term growth impetus for the domestic economy. We continue to expect a bigger growth pickup in Germany in H2, underpinning our view of a delayed but strong fiscal impulse and above-consensus GDP forecast for 2027.
- The gains in orders are still heavily skewed towards sectors such as defence that are already operating at capacity, so production will struggle to adjust to demand. High-frequency activity gauges and surveys also argue against an imminent surge in output. And weak global trade, tariffs, lasting losses in competitiveness, and ailing European car demand remain powerful drags on activity.
- Nonetheless, the impetus from Germany's huge defence spending plan is building. Rising machinery orders signal that a supply ramp-up is underway, which will ease production constraints over time. Initial signs of feedthrough to orders in intermediate upstream sectors are also emerging. But the rebound is fragile and isn't self-sustaining, given its domestic, fiscally supported nature.

The massive surge in new manufacturing orders at the end of 2025 is a strong indication that German industry is finally about to embark on a sustained recovery. This would be a key turning point after the fourth consecutive year of contraction in 2025, with manufacturing output falling by over 1%, leaving output at its lowest level since the financial crisis. Output was higher even in 2020, the worst year of the pandemic.

However, we think that the surge in orders likely overstates the immediate impact on economic activity. We think Germany's growth rebound will initially be slow, followed by a notable pickup in H2 this year and into 2027.

Chart 1: Most of the rise in factory orders in Q4 was due to defence spending



Sources: Oxford Economics, Haver Analytics

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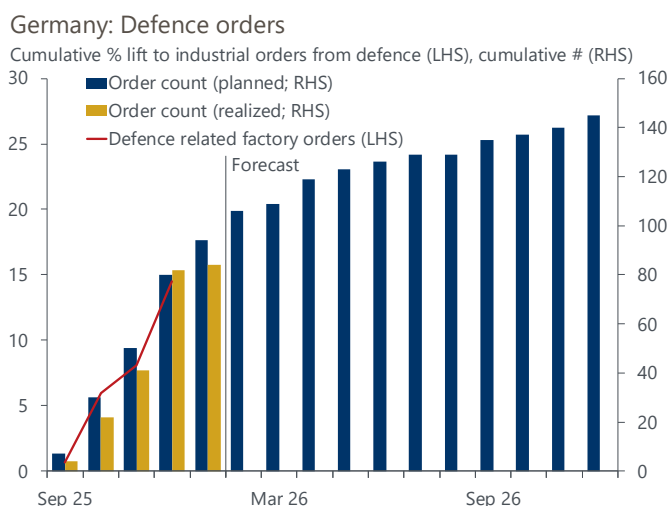
German government's defence splurge is underway, but it will take time to lift activity

The defence sector drove the flood of orders in Q4 ([Chart 1](#)) following the delayed approval of the 2025 budget, which paved the way for the defence ministry to sign a string of contracts. We flagged the defence contracts in our [Germany chartbook](#) that tracks the government's progress in rolling out its fiscal stimulus.

We estimate that over half of the Q4 rise in factory orders came on the back of defence orders, mostly from the German government. Take the figure as more of an illustrative estimate, though. There's a severe lack of official data on defence-related industrial activity, with most orders lumped in with private demand. For instance, aircraft and spacecraft orders include both orders of civil aeroplanes as well as, for example, fighter jets and satellites. Other sectors, such as military combat vehicles, aren't reported individually at all, but are included in the headline orders figure. However, there are ways to come up with useful estimates.

Q4 likely marked the peak of new domestic defence orders. We expect a moderation in new contracts based on a leaked procurement schedule ([Chart 2](#)). The latest [batch](#) of published orders for January was minuscule compared with the roughly EUR50bn in December. This alone is likely to cause a substantial decline in factory orders this quarter.

Chart 2: The defence ministry delivered a surge in contracts



Sources: Oxford Economics, BMVG, Politico

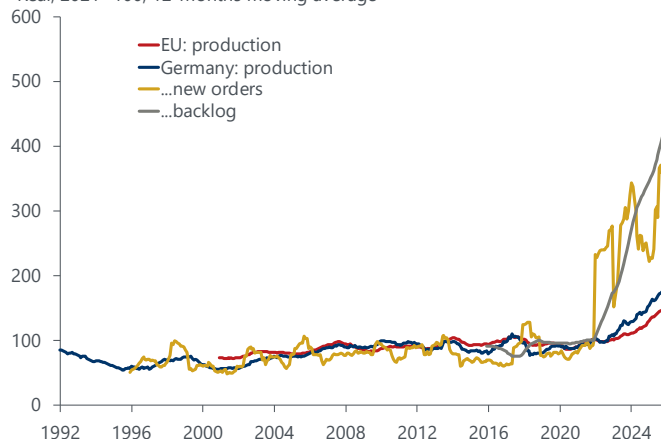
The immediate impetus for industrial activity is also likely to be small. The reason is that these sectors already sit on a mountain of unfilled orders that have been piling up since Russia started its war in Ukraine ([Chart 3](#)). But after decades of under-spending, Europe's defence sectors are missing the scale to respond quickly, which is a point we've been [making](#) since early last year. For instance, although German production of weapons and ammunition has been rising by around 20% per year since 2023 from a very low base, that hasn't prevented a quadrupling of backlogs – now worth five years of the sector's output.

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Chart 3: Unfilled defence orders are piling up as new orders vastly exceed current capacity

EU & Germany: Weapons and ammunition sector data

Real, 2021=100, 12-months moving average



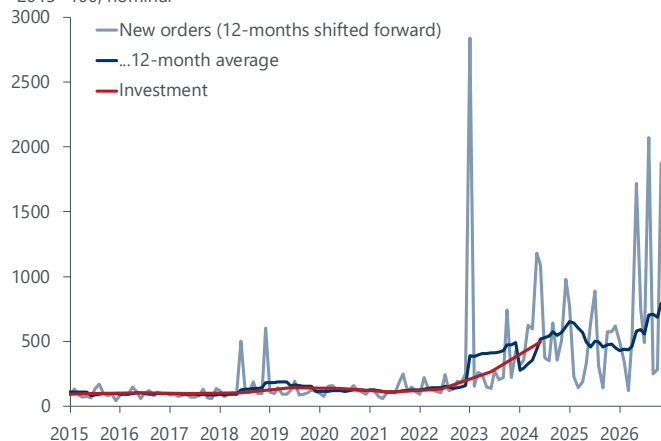
Sources: Oxford Economics, Haver Analytics

The frontloaded nature of the defence orders is nonetheless crucial. The planning certainty that comes with it will trigger a surge in capex that will, over time, ease the sector's supply constraints. Using the weapons and ammunition sector as an illustration, the sector's capex has followed the rise in new orders with about 12 months' lag for the past few years (**Chart 4**). Although the machinery sector has significant spare capacity after years of falling output, it will still take at least a few months to produce the necessary machines and put them in place. Building or converting existing factories will also be a challenge, as will finding qualified staff, who, in some cases, will also need security clearance.

Chart 4: It takes about a year for new orders to lift defence capex

Germany: Weapons and ammunition sector

2015=100, nominal



Sources: Oxford Economics, Haver Analytics

Recovery is broadening, but headwinds remain

The surge in factory orders at the end of last year hasn't only been due to defence contracts, though (**Chart 1**). In fact, there has been a recent broadening in order gains (**Chart 5**). On our measure of underlying orders, December was the first month in four years with a noticeable increase in new orders. This is an upside risk to our baseline view of a weak near-term outlook for industrial activity.

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Chart 5: Measure of underlying orders shows the recovery is broadening but still weak

Germany: Factory orders and manufacturing output



Sources: Oxford Economics, Haver Analytics

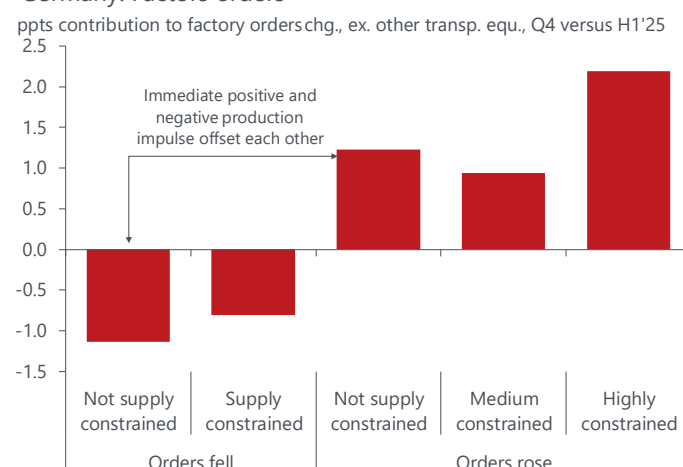
However, we think that a detailed look reveals a more complicated picture. Even excluding some of the most supply-constrained sectors, such as ship-building and train production, the recent surge in factory orders has been tilted towards sectors that are supply-constrained, based on the level and direction of backlogs.

Moreover, a significant share of sectors are experiencing falling demand, likely reflecting the drag from weak external demand and a structural loss in competitiveness. Indeed, the majority of industrial firms still plan to shed labour, so factory closures or downscaling in affected sectors could remain a drag on activity. The order losses in such sectors in Q4 broadly offset the lift from rising orders in sectors that aren't supply-constrained.

Additionally, there were large gains in orders in some sectors that likely present initial supply chain effects downstream from defence firms and that are less or not supply-constrained. For instance, orders of navigation and optical equipment surged and may be destined for tanks. But given the slow increase in the production of military fighting vehicles, firms might agree to gradual delivery and production rather than hoarding the ordered inputs.

Chart 6: Detailed sector data suggest neutral impetus for activity in the near term

Germany: Factors orders



Sources: Oxford Economics, Haver Analytics

Lastly, we think the official method for aggregating and seasonally adjusting the data gave an artificial, strong boost – of several percentage points – to the 8% m/m surge in factory orders in December. See **Chart 1** for our estimate of the effect. At a smaller scale, the same happened in December 2023 and

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December 2024, followed by a full reversal of the large gains in January. We don't want to overstate this issue, as orders are still up very strongly from last year. But it's useful to highlight, given the probable large contraction in new orders in January 2026, and it's another good reason to be cautious about reading too much into the December order print and its implications for Q1 activity.

For data aficionados, we arrived at the estimate by aggregating the available subsector data on seasonally and working day-adjusted factory orders and compared them with the official aggregate. The latter relies on running the seasonal adjustment on the aggregated non-seasonally adjusted series. We find no similar gap when aggregating the non-seasonally adjusted time series, indicating that the official adjustment is indeed likely to blame. These two different aggregation methods yield differing results most of the time, but, typically, the effect is on a much lesser scale.

Activity indicators support our cautious near-term view

Even accounting for the caveats above, upside risks to our H1 industrial forecasts have risen on the back of the strong factory orders. However, several leading indicators and proxies suggest that industrial activity will have a soft start to the year. Surveys such as the ifo and PMI remained in negative territory (**Chart 7**). And [trucking activity](#), as well as car orders, dropped in January. Car production may have risen, though.

Given the exceptional nature of the Q4 factory order data as well as the caveats we presented, we think it's too early to revise our view of a soft H1 for the German economy. We continue to think that the government will struggle to roll out its ambitious fiscal program as quickly as planned. Should the January and February activity data surprise to the upside, we'd naturally reconsider our baseline view. Either way, the volatility in German monthly data is likely here to stay, both in the construction and industrial data. Figuring out the underlying trend and the activity implications will be difficult, and we think it will be useful not to overstate one or two months of data.

Chart 7: The majority of manufacturers remain downbeat on demand and production



Sources: Oxford Economics, Haver Analytics

Taking a step back, the bigger news from our close look at the recent factory order data isn't so much that orders may fail to lift output very much in H1 this year, which supports our cautious baseline for 2026 GDP. Instead, the main takeaway for us is that initial signs of a capex revival and lift to upstream demand of intermediates build our confidence that the bottom for German industrial output has finally arrived and that a strong recovery can emerge later this year, which should feed above-consensus GDP growth next year.

And although this is far from a self-sustaining recovery given the fiscal policy impetus, it could prop up industry as it continues to adjust to the new geopolitical, tariff, and competitiveness landscape.